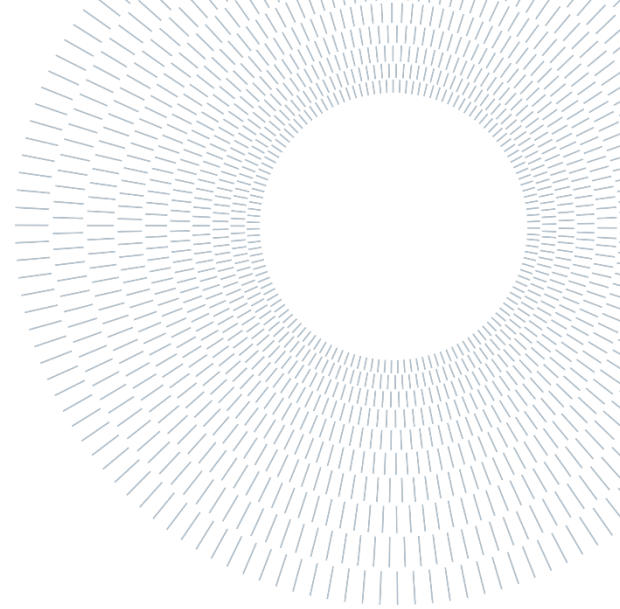




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EXECUTIVE SUMMARY OF THE THESIS

A Taxonomy of Theory of Change Applications: An Empirical Study in the Third Sector

TESI MAGISTRALE IN MANAGEMENT ENGINEERING – INGEGNERIA GESTIONALE

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1. Introduction

In recent years, impact assessment has become a central concern for Third Sector Organisations (TSOs), which are increasingly required to demonstrate their ability to generate measurable and meaningful change. Growing pressure from funders, regulators and communities has shifted the focus from activities performed to outcomes achieved and long-term impact produced. In this evolving context, evaluation tools are no longer limited to technical reporting functions but have become strategic instruments for governance, accountability and organisational learning (Vanclay, 2003; Handley, 2025).

Among the approaches most widely adopted in the field are the Logical Framework Approach (LFA) and the Theory of Change (ToC). While the LFA has historically structured planning and monitoring through a linear hierarchy of objectives and indicators, the ToC has gained prominence as a framework capable of articulating the causal mechanisms, assumptions and contextual conditions underlying social change processes

(Connell & Kubisch, 1998; Vogel, 2012). Despite its increasing diffusion in both academic and professional domains, the ToC is often discussed from a normative perspective, focusing on how it should be constructed rather than on how it is concretely used in practice. This creates a research gap between idealised representations of the ToC and its situated applications within organisations. Understanding how the ToC is actually implemented, adapted and integrated into organisational processes is therefore essential for advancing both theory and practice in impact evaluation.

2. Research objectives

The general objective of this research is to analyse how the ToC is implemented in practice within TSOs and to develop an interpretative taxonomy capable of classifying the different configurations of its use. Rather than assessing the correctness of ToC adoption against an ideal model, the study seeks to understand how the tool is concretely applied and embedded within organisational processes.

More specifically, the research aims to identify the key analytical dimensions that differentiate ToC uses, drawing from the existing literature and developing a structured multidimensional taxonomy that conceptualises ToC applications along a continuum of maturity. The study then tests the proposed taxonomy on a set of real projects to observe patterns of variation across cases. Finally, it derives managerial implications for TSOs and funding bodies, highlighting how different configurations of ToC use respond to distinct organisational conditions and evaluative purposes.

In line with these objectives, the study addresses the following research questions:

1. How is the Theory of Change concretely used within Third Sector projects?
2. What organisational and contextual conditions shape these configurations of use?
3. What managerial and governance implications emerge from different configurations of ToC application?

3. Conceptual background and development of a taxonomy

3.1. The LFA and the ToC

Impact evaluation in the Third Sector has progressively consolidated around a set of structured planning and evaluative frameworks, among which the LFA and the ToC are two of the most widely adopted and institutionally embedded tools, sharing a common objective: reconstructing the logical chain linking activities, outputs, outcomes and impacts in order to make the theory of action explicit.

The LFA is grounded in a linear and hierarchical logic, organising interventions through a structured sequence of goals, purposes, outputs and activities. Its primary strength lies in providing clarity, coherence and accountability, particularly in funding contexts where transparency and comparability are required. However, its cause–effect structure tends to privilege predefined objectives and measurable outputs, often limiting its capacity to accommodate contextual variability and non-linear dynamics (Bakewell & Garbutt, 2005). The ToC, by contrast, emerged within the tradition of theory-driven evaluation and places stronger emphasis on explicating causal mechanisms, assumptions and

contextual conditions (Weiss, 1995; Connell & Kubisch, 1998). Rather than focusing solely on whether an intervention achieves its intended outputs, the ToC seeks to clarify how and why change is expected to occur, mapping intermediate outcomes and articulating the underlying logic of action. While the LFA is frequently used as a planning and reporting device, the ToC is more explicitly conceived as a strategic and learning-oriented framework.

While both the LFA and the ToC aim to reconstruct the causal chain linking activities to impacts, the literature shows that their patterns of application differ: the LFA tends to maintain a relatively stable and linear configuration, primarily oriented toward planning coherence and accountability; the ToC, instead, exhibits greater internal variability. In less complex or highly standardised contexts, it may assume simplified and linear forms that closely resemble traditional logframe applications, sometimes functioning as a formal compliance device rather than a learning framework. However, unlike the LFA, the ToC retains the potential to evolve into more articulated and reflexive configurations. This internal variability motivates the development of a structured taxonomy of ToC uses.

3.2. The taxonomy

The literature review and the analysis of existing applications revealed a high degree of heterogeneity in how the Theory of Change is designed, interpreted and operationalised. While some organisations adopt them as a formal requirement or descriptive planning tools, others employ them as reflective frameworks embedded in strategic decision-making and learning processes. However, existing studies do not systematically connect these different configurations of use to organisational characteristics and contextual conditions. To address this gap, the thesis develops a multidimensional taxonomy that conceptualises ToC applications along a continuum of maturity. The objective is not to establish normative standards, but to provide an analytical lens capable of interpreting variation in practice.

The taxonomy is structured around five analytical dimensions that capture the core areas in which configurations of use diverge. Table 1 summarises

the analytical dimensions underpinning the taxonomy.

Dimension	Definition	Evidence
Context sensitivity	Extent to which contextual variables and environmental contingencies are recognised and incorporated into the theory of action.	Explicit reference to contextual factors; adaptation to local conditions; differentiation across settings.
Causal architecture	Degree of articulation, justification and depth of causal pathways and underlying assumptions.	Presence of intermediate outcomes; explicit assumptions; recognition of the “missing middle”.
Methodological and model integration	Extent to which the model is connected to other evaluation methods, data systems or analytical tools.	Use of mixed methods; triangulation of data; integration with monitoring and evaluation systems.
Functional-temporal orientation	Primary function attributed to the model and its capacity to support adaptation over time.	Compliance/ reporting use vs. learning-oriented use; iterative revision; feedback loops.
Stakeholder engagement	Level of participation and co-construction in the development and revision of the ToC.	Workshops or consultations; involvement of beneficiaries; collaborative revision of assumptions.

Table 3.1 - Analytical dimensions of the taxonomy

Building on the combination of these dimensions, three ideal-typical groups of applications are identified:

1. Basic ToCs, where the Theory of Change is formally articulated but remains relatively descriptive, with limited methodological integration and modest stakeholder involvement;
2. Structured ToCs, marked by clearer articulation of assumptions, stronger contextual embedding and greater alignment with monitoring and decision-making processes;
3. Enhanced ToCs, in which the model is deeply integrated into organisational learning, strategic adaptation and participatory processes, supported by methodological triangulation and iterative revision.

Rather than categorising applications into rigid types, the taxonomy positions configurations

along a continuum that reflects increasing levels of analytical depth, organisational embedding and strategic integration. In this perspective, maturity is not conceived as a formal property of the model itself, but as a property of its use within specific organisational and institutional contexts.

4. Methodology

The empirical analysis adopts a qualitative multiple case study design aimed at exploring how the ToC is concretely implemented within real organisational settings. The study focuses on eighteen projects funded by the Fondazione Comunitaria del Varesotto (FCVA), a community foundation operating within a defined territorial and institutional ecosystem.

The selected projects are representative of heterogeneous intervention areas and organisational profiles, allowing for comparative analysis across different contexts while maintaining a coherent funding framework. Each project constitutes a unit of analysis, with particular attention to how the ToC was designed, articulated and operationalised throughout the project lifecycle.

The empirical process unfolded in two sequential phases: first, project documentation was systematically analysed in order to reconstruct the ToC underlying each intervention; second, semi-structured interviews were conducted with organisational representatives to examine how the reconstructed ToCs were interpreted, used and integrated into decision-making and evaluation practices. Overall, 36 meetings were held, including one introductory alignment meeting and one semi-structured interview for each project. Interview data provided the basis for assessing each case along the five analytical dimensions of the taxonomy.

The analytical strategy followed a pattern-based coding approach aligned with the five dimensions of the proposed taxonomy. Each case was examined and positioned along the continuum of configurations of use, identifying recurring patterns and variations across projects. This comparative logic enabled the identification of distinct maturity levels and the interpretation of the organisational and contextual conditions shaping them.

5. Key findings

The empirical analysis confirms that the adoption of the Theory of Change within the analysed projects does not follow a binary logic of presence versus absence. Instead, configurations of use are distributed along a continuum of maturity, reflecting different levels of articulation, integration and organisational embedding.

5.1. Positioning along the continuum

Five maturity levels were identified through the positioning of cases along the analytical dimensions. At the lower end of the continuum, configurations are characterised by linear and compliance-oriented uses, where the ToC resembles a simplified planning device, primarily supporting reporting requirements. At intermediate levels, the ToC is more explicitly articulated, with clearer identification of intermediate outcomes and stronger alignment with monitoring practices. At the higher end of the continuum, configurations exhibit deeper causal reasoning, contextual integration, methodological triangulation and iterative revision processes, positioning the ToC as a strategic and learning-oriented framework embedded within organisational decision-making. Several cases occupy intermediate positions between configurations, reinforcing the non-rigid and continuum-based nature of the taxonomy. Figure 5.1 illustrates the continuum of ToC maturity and the positioning of each case, highlighting the presence of intermediate configurations between Basic and Structured ToCs, as well as between Structured and Enhanced ToCs.

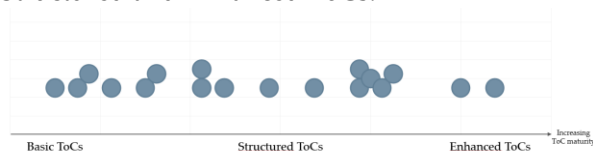


Figure 5.1 - Positioning of the 18 analysed projects along the ToC maturity continuum. Each dot represents one project

5.2. Cross-case analysis

The positioning of cases along the maturity continuum is determined through the five analytical dimensions introduced in the taxonomy.

Cross-case analysis shows how variation across context sensitivity, causal architecture, methodological integration, functional-temporal orientation and stakeholder engagement explains the differentiated configurations observed.

With regard to context sensitivity, lower-level configurations tend to treat contextual variables as external conditions, whereas higher-level configurations explicitly integrate environmental contingencies into the theory of action, adapting assumptions and pathways to local conditions.

In terms of causal architecture, basic configurations display simplified and linear causal chains, while more advanced configurations articulate intermediate outcomes, make assumptions explicit and justify causal links through evidence and theoretical grounding.

Regarding methodological and model integration, lower-level cases rely primarily on predefined indicators and reporting formats, whereas higher-level configurations integrate qualitative and quantitative data, triangulate evidence and combine the ToC with complementary evaluative approaches.

The functional-temporal orientation dimension highlights a shift from compliance-driven uses, focused on ex-ante planning and ex-post reporting, to learning-oriented uses that incorporate iterative revision and adaptive feedback loops.

Finally, stakeholder engagement varies significantly: in lower-level configurations, the ToC is often developed internally or to satisfy donor requirements, while in more mature configurations it emerges through participatory processes involving beneficiaries and organisational actors in the co-construction and revision of causal assumptions.

5.3. Conditions shaping ToC maturity

The analysis also identifies a set of structural and contextual factors that shape positioning along the continuum.

Maturity levels are influenced by managerial attitudes toward evaluation, organisational capabilities, availability of analytical competences and the broader institutional environment in which projects operate. Projects embedded in organisations with prior experience in evaluation practices and stronger strategic orientation tend to display more articulated and integrated

configurations. Conversely, limited knowledge and bureaucratic cultures with limited interest in impact assessment often constrain the depth of ToC application.

Importantly, the findings show that higher maturity does not automatically correspond to “better” practice in absolute terms. Rather, configurations appear more or less coherent depending on the characteristics of the project, its objectives, and the organisation’s developmental stage. In certain contexts, a simplified configuration may be more adequate and proportionate; in others, deeper integration and iterative use are necessary to address complexity. These findings reinforce the interpretation of maturity as a property of use, shaped by organisational embedding and contextual conditions rather than by the formal structure of the model itself.

6. Discussion and results implications

The findings contribute to the ongoing debate on the practical use of the ToC by shifting the focus toward observed configurations of use. Rather than evaluating whether organisations adopt the ToC “correctly”, the study shows that maturity is not an intrinsic property of the model itself, but a property of how it is used, interpreted and embedded within organisational processes. This perspective moves beyond simplified representations that oppose formal presence to absence, or compliance to innovation. The proposed taxonomy shows that different configurations reflect distinct organisational logics, capacities and strategic orientations. In this sense, the ToC should not be understood as a static artefact, but as a flexible evaluative device whose analytical depth and strategic function depend on contextual and organisational conditions.

The taxonomy therefore operates as a reflective framework: it enables organisations to assess their own positioning along the continuum and to identify potential areas of development, without assuming that progression toward higher maturity levels is always necessary or desirable. The findings suggest that what matters is coherence between the configuration adopted, the nature of the intervention, and the organisational environment in which it is embedded.

From a managerial perspective, the results highlight important implications for both TSOs and funders. For Third Sector Organisations, the taxonomy provides guidance in calibrating the use of the ToC according to available resources, analytical competences and strategic priorities. For funding bodies, the findings suggest the importance of differentiating expectations and support mechanisms according to organisational capacities, avoiding one-size-fits-all requirements that may generate formal compliance rather than meaningful evaluative learning.

Overall, the study reframes the adoption of the Theory of Change as a situated and relational process, shaped by institutional pressures, organisational culture and managerial intentionality. In doing so, it contributes to a more nuanced understanding of evaluative maturity in complex social contexts.

7. Conclusions and future developments

This study demonstrates that the adoption of the Theory of Change within Third Sector Organisations is neither homogeneous nor reducible to a binary distinction between presence and absence. Instead, empirical evidence reveals a continuum of configurations of use, reflecting varying levels of articulation, integration and organisational embedding. The five maturity levels identified show that ToC applications differ not only in formal structure but, more importantly, in the depth of causal reasoning, contextual sensitivity, methodological integration and stakeholder involvement.

A central conclusion of the research is that evaluative maturity should be understood as a property of use rather than of model design. Higher levels of maturity are associated with deeper strategic integration and learning orientation, yet no configuration is inherently superior in absolute terms. Rather, the appropriateness of a given configuration depends on the characteristics of the project, the organisational context and the resources available. The proposed taxonomy contributes both at an analytical and at a practical level. Analytically, it provides a structured framework for interpreting heterogeneity in ToC applications. Practically, it offers organisations and funders a reflective tool

for calibrating expectations and designing proportionate evaluation systems.

Future research may extend the empirical scope of the taxonomy by applying it to different institutional contexts, including public administrations and hybrid organisations. Longitudinal studies could further explore how configurations evolve over time, while quantitative operationalisation of the analytical dimensions may strengthen the robustness and comparability of findings across larger samples.

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